Precision Wires India Ltd - Concall Tracker

Is there a real earnings driver, and has management stuck to its word?

Ticker: PRECWIRE (NSE) / 523539 (BSE) | Quarter: Q1 2027 (Apr-Jun 2026) | Report date: 6 Nov 2026 | No earnings calls held: built from a web deep-dive

> **Plain-word key:** *Winding wire* = thin insulated copper wire wound inside transformers, motors and appliances. *CTC* = a premium bundled copper conductor used in big power transformers. *Conversion model* = the customer effectively pays for the copper and Precision Wires earns a fee per tonne for turning it into wire, so most "sales" is copper passing through. *MT/PA* = tonnes of capacity a year. *Copper cathode* = pure copper sheets, the raw material for wire.

1. Snapshot

What the business does: Precision Wires is India's largest maker of copper winding wire, sold to makers of transformers, motors and appliances, plus premium CTC conductors for large power transformers. Because copper cost is passed on, headline margins look thin; the real money is the conversion fee per tonne.

MARKET VALUE
₹7,363 cr
The market's price tag on the company (share ~₹401), about the same as at our last report.

Q1 FY27 REVENUE
₹1,770 cr
Apr-Jun 2026 sales, up 60% on a year ago. Bigger volumes plus higher copper prices flowing through.

Q1 FY27 NET PROFIT
₹46 cr
Up 71% from ₹27 cr. Profit is growing even faster than sales.

OPERATING MARGIN
4.8%
Down from 5.3% a year ago, blamed on dearer raw material. Thin by design, but worth watching.

PRICE TO EARNINGS
~40x
You pay about ₹40 for each ₹1 of yearly profit. Rich for a thin-margin converter.

RETURN ON CAPITAL
~33%
Earns about ₹33 a year on each ₹100 tied up in the business. Genuinely high.

2. Coverage

No concall transcripts were available on Screener - this report is based on a global web deep-dive. Precision Wires does not hold earnings calls. Only information published up to 30 Sep 2026 is used.
Sources this quarter: Q1 FY27 results and board outcome (10 Aug 2026) as reported by Sahi and Tijori Alerts; Zaroli trial-production disclosure (17 Sep 2026, via Sahi / JM Financial / HDFC Sky); FY26 results coverage (FilingReader, Jul 2026); Screener.in financials. Backstory (CARE Ratings reports Mar 2024 and Nov 2025, annual reports) carried forward from the Q4-2026 report.

Latest update highlights - Q1 FY27 (results 10 Aug 2026)

- **Another big quarter.** Revenue ₹1,770 cr (+60%), operating profit ₹85 cr (+44%), net profit ₹46 cr (+71%). Plain read: volumes and profit both kept climbing fast.
- **Margin slipped a little.** Operating margin fell to 4.8% from 5.3%, put down to higher raw-material costs. Plain read: copper got dearer and the company couldn't pass all of it on straight away.
- **More capacity and fresh money.** Board approved a Silvassa expansion of 4,620 MT/PA for about ₹38 cr, taking capacity to 69,200 MT/PA by FY28. It also approved raising ₹150 cr through debentures that turn into shares within 18 months (₹400 each, 12% coupon) from Anchorage Capital and AADI Financial Advisors, plus a ₹200 cr unsecured working-capital line.
- **Copper plant starts trials.** On 17 Sep 2026 the Zaroli (Gujarat) plant began trial output of pure copper cathodes made from scrap, with full production pencilled for Q3 FY27 (Oct-Dec 2026) subject to final clearances.
- **Other:** new CFO (Krina Parekh) after Mohandas Pai retired; an analyst and investor meeting was held with Dalal & Broacha on 22 Aug 2026.

Business mix & capacity (quick facts)

- **Domestic vs export:** exports about 12% of sales (last disclosed figure, carried from the Q4-2026 report); no newer split published. Plain read: almost nine-tenths of sales are in India.
- **Capacity:** about 61,000 MT/PA after the FY26 ramp, heading to 69,200 MT/PA by FY28. Utilisation not disclosed. Plain read: the company keeps adding capacity, which suggests the existing lines are well used, but there's no stated number.

Since our last report ★

Builds on the Q4-2026 report (web deep-dive, 4 Jul 2026, covering FY26 results). Prior verdicts: **Durable trigger: YES** | **Management consistent: YES**.

Prior read	What we said then	What's new	Movement
Trigger: YES	Capacity-led volume growth on the grid and transformer boom	Sales +60%, profit +71% in Q1; another capacity step approved	Confirmed
Consistency: YES	Capacity promises kept, low debt, rating upgrade	Zaroli trials started in Q2 FY27 as flagged in July; expansion cadence continues	On-track
Zaroli copper plant	In build, not running; margin benefit unproven	Trial production from 17 Sep 2026; full output targeted Oct-Dec 2026	Improving
Thin margins	~6% normal for a converter	4.8% in Q1, down on raw-material cost	Slipping
Funding / borrowing	Leverage low	₹150 cr convertible debentures (future share dilution) plus a ₹200 cr working-capital line; interest cost rising with scale	Watch

Verdict change this quarter: both unchanged. The growth engine is still running and the copper plant moved from build to trials on time. The thinner margin and the need for outside money are the new things to watch.

3. Earning trigger thesis

> **The headline:** Precision Wires grows by **adding wire capacity year after year and filling it**, riding India's spending on power grids and renewables, which needs the big transformers that use its premium wire. That's already in the numbers. The next leg is the Zaroli plant: making its own pure copper from scrap should cut raw-material cost and protect margins, but it has only just started trials.

Trigger	What the record says	Evidence so far	Horizon	Strength	Change since last report
Capacity + volume	~61,000 to 69,200 MT/ PA by FY28	Q1 sales +60%; Silvassa addition approved	Now to FY28	Strong	↑ new step added
Grid / transformer demand	Large transformer build-out needs CTC wire	Volume growth keeps running well ahead of the market	Multi-year	Moderate-Strong	unchanged
Zaroli copper plant	~₹240 cr plant to refine scrap into cathode	Trials from 17 Sep 2026; full output Q3 FY27	FY27-28	Unproven, getting closer	↑ from build to trials
Margin / mix	Shift to higher-fee premium wire	Margin dipped to 4.8% this quarter	Ongoing	Moderate	↓ one soft quarter

4. Management consistency scorecard

Judged from filings, rating reports and results (there are no calls to check against).

Period	What was signalled	What actually happened	Verdict
FY24 to FY26	Capacity 39,400 to ~61,000 MT/PA	Hit at each step, on schedule	Delivered
FY23 to FY26	Scale-led profit growth	FY26 sales +35%, profit +72%; Q1 FY27 profit +71%	Delivered
Jul 2026	Zaroli trial production in Q2 FY27	Trials began 17 Sep 2026	Delivered
Ongoing	Keep borrowing low	Rating held at A+; but now raising ₹150 cr convertibles and a ₹200 cr unsecured line	Partly
Ongoing	Mix shift lifts margins	Q1 margin down to 4.8%; product split still not disclosed	Too early

Narrative drift: None. The story is the same as two years ago: add capacity, sell into the transformer boom, then make our own copper. Dates have been met. The weak spot is disclosure, as there's still no product split, no utilisation figure and no calls, so the read leans on filings. The funding mix is shifting too. Convertible debentures at ₹400 mean new shares later, and a 12% coupon isn't cheap money.

5. Bottom line - two verdicts

Durable earning trigger? → YES (vs last quarter: unchanged)

Q1 confirmed the engine again, with profit up about seven-tenths on fast volume growth, and a new capacity step is already approved out to FY28. The copper plant is now in trials, so the margin kicker is close to being testable. The catch is that margins slipped this quarter and the stock already prices in a lot.

Management consistent? → YES (vs last quarter: unchanged)

Nothing slipped. The Zaroli trials started in the quarter they said, and capacity keeps arriving on schedule. Two small marks against them: they don't give much detail, and the switch to convertible debt will dilute shareholders later. Neither is a broken promise.

Because Precision Wires holds no earnings calls, this read is built from results filings, board outcomes and news published up to 30 Sep 2026, building on the Q4-2026 report. Figures are as reported in those sources. This is not investment advice. Do your own due diligence.